

## Smt. Nishu Devi v. State of U.P. and 2 Others

Allahabad High Court · Division Bench · 18 April 2024 · 2024:AHC:67666-DB · Writ - C No. 8903 of 2024 · **Writ disposed of; impugned assessment proceedings withdrawn; respondents may pass a fresh order strictly in accordance with law; inspection report to be supplied within forty hours of application**

### HEADNOTE

An order which itself invites objections, promises a personal hearing, and says that the final assessment will thereafter be dispatched under registered cover cannot be treated as a final assessment. Clause 6.8 of the U.P. Electricity Supply Code, 2005 must be followed before recovery is initiated. Where a provisional assessment notice has already given time to object, a later order that again invites objections while purporting to be the final assessment is contrary to the prescribed procedure. The Court recorded those defects in respect of the assessment proceedings of 27 February 2024, on which an office memorandum of 29 February 2024 had issued a demand of Rs 1,42,556, and required the Managing Director to explain how a provisional assessment and a final assessment could be passed on the same date. The Managing Director then stated that the impugned proceedings had been withdrawn and that the department would proceed afresh under the Supply Code, 2005 and the Electricity Act, 2003. The writ was disposed of as the grievance stood redressed, with liberty to pass a fresh order strictly in accordance with law, and the inspection report is to be supplied within forty hours of an application to the concerned Executive Engineer. The merits and the quantum were not decided, and no precedent was named.

### FACTUAL SUMMARY

Smt Nishu Devi filed Writ-C No. 8903 of 2024 in the Allahabad High Court against the State of U.P. and two others. She challenged orders of provisional and final assessment dated 27 February 2024 and an office memorandum dated 29 February 2024 issued on that final assessment. The Court was told that a provisional-assessment notice and another notice demanding Rs 1,42,556 as a final assessment were both issued on 27 February 2024, and that no final assessment order was in existence.

On 2 April 2024 the Executive Engineer's affidavit showed that the procedure for a final assessment had not been followed. The order of 27 February 2024 itself invited objections, promised a personal hearing, and said the final assessment would then be sent under registered cover. The Court also noted a provisional-assessment notice of 13 April 2022 which had already given time to object. The Managing Director later stated that the impugned proceedings had been withdrawn and that the department would proceed afresh under the U.P. Electricity Supply Code, 2005 and the Electricity Act, 2003.

### REUSABLE CONSTRUCTIONS

1. An order which permits the consumer to file objections, promises a personal hearing, and states that the final assessment will thereafter be dispatched cannot be treated as a final assessment order.  
¶ order of 2.4.2024, para 4
2. Once a provisional assessment notice has given the consumer time to object, a later order that again invites objections while purporting to be the final assessment is contrary to the procedure prescribed for making a final assessment. ¶ order of 2.4.2024, para 4
3. Recovery cannot be initiated without following clause 6.8 of the U.P. Electricity Supply Code, 2005. A provisional assessment and a final assessment passed on the same date do not comply with that procedure. ¶ order of 19.3.2024, para 3; order of 18.4.2024, paras 2-3

### HOLDING-UNITS

#### HOLDING-UNIT · UP-2005::6.8

An order that again invites objections is not a final assessment; clause 6.8 must be followed before recovery

### QUESTION

Can an order be treated as a final assessment, and can recovery proceed, where the order itself invites objections and a personal hearing and the procedure under clause 6.8 has not been followed?

#### HOLDING

No. From the Executive Engineer's affidavit the Court found that the procedure prescribed under the Code for making a final assessment had not been followed. The alleged final assessment dated 27 February 2024 stated that if the petitioner had any objection she might file it, a personal hearing would be afforded, and the final assessment would then be dispatched under registered cover. An order which gives that liberty cannot be treated as a final assessment. A provisional assessment notice issued on 13 April 2022 had already given time to file objections, so giving that liberty again while passing a final assessment is contrary to the prescribed procedure. The Court had already recorded that recovery was being initiated without following clause 6.8 of the U.P. Electricity Supply Code, 2005. ¶ order of 19.3.2024, para 3; order of 2.4.2024, paras 3-4

#### QUALIFIER

Clause 6.8 is cited without a sub-clause. The Court did not set out the steps in that clause or describe the inspection.

**FLAG** The source is three orders in one PDF, each restarting paragraph numbers: 19.3.2024, 2.4.2024 and 18.4.2024. Dates of the provisional notice are stated differently. On 19 March 2024 the Court recorded a provisional-assessment notice and a final-assessment notice, both of 27 February 2024, for Rs 1,42,556, and counsel's submission that no final assessment order existed. On 2 April 2024 it treated the 27 February 2024 document as an alleged final assessment and recorded a provisional notice of 13 April 2022. On 18 April 2024 the challenge was described as orders of provisional and final assessment, both dated 27 February 2024, and an office memorandum of 29 February 2024. The Court referred to past concern and to having invited the Managing Director's attention, but named no decision.

### HOLDING-UNIT · UP-2005::6.8

Proceedings withdrawn; fresh order strictly in accordance with law; inspection report to be supplied

#### QUESTION

What order follows once the licensee withdraws assessment proceedings that did not follow the Supply Code?

#### HOLDING

The petition is disposed of. The Managing Director's affidavit stated that a notice had been issued to the officer concerned asking how a provisional assessment and a final assessment could be passed on the same date, that the impugned proceedings had been withdrawn, and that the department would proceed afresh under the Electricity Supply Code, 2005 and the Electricity Act, 2003. The Court held that the grievance stood redressed and disposed of the petition with liberty to the respondents to pass a fresh order strictly in accordance with law. The inspection report is to be made available within forty hours of an application filed before the concerned Executive Engineer. ¶ order of 18.4.2024, paras 2-6

#### QUALIFIER

The Electricity Act, 2003 is named without a section. The forty-hour direction is an order in this petition. The Court did not state it as a period fixed by the Code.

**FLAG** The Court did not itself quash the orders of 27 February 2024 or the office memorandum of 29 February 2024. It recorded the licensee's withdrawal. An interim order of 19 March 2024 had restrained coercive action on the provisional-assessment notice and the order of 29 February 2024, and that restraint was continued on 2 April 2024 until the next listing.

#### PRINCIPLE TAGS

**6.8-procedure-mandatory** The Court recorded that recovery was being initiated without following clause 6.8 of the U.P. Electricity Supply Code, 2005, and later found from the Executive Engineer's affidavit that the procedure for a final assessment had not been followed. ¶ order of 19.3.2024, para 3; order of 2.4.2024, para 3

**opportunity-before-final-assessment** Because the order of 27 February 2024 itself allowed objections and a personal hearing, and said the final assessment would be dispatched afterwards, it could not be treated as a final assessment. A provisional notice of 13 April 2022 had already given time to object, so inviting objections again while passing a final assessment was contrary to the prescribed procedure. ¶ order of 2.4.2024, para 4

**provisional-and-final-assessment-cannot-be-simultaneous** The Managing Director was required to explain how a provisional assessment and a final assessment could be passed on the same date, 27 February 2024. The

department withdrew the impugned proceedings rather than defend that course.

¶ order of 2.4.2024, para 5; order of 18.4.2024, paras 2-3

**recovery-withdrawn-fresh-supply-code-order** After the Managing Director stated that the impugned proceedings had been withdrawn and that the department would proceed afresh under the Supply Code, 2005 and the Electricity Act, 2003, the writ was disposed of as the grievance stood redressed, with liberty to pass a fresh order strictly in accordance with law. ¶ order of 18.4.2024, paras 3-5

#### NOT DECIDED — NEGATIVE AUTHORITY

##### NOT DECIDED — MERITS AND QUANTUM OF THE ASSESSMENT OF RS 1,42,556

Left to any fresh order passed strictly in accordance with law. The Court did not examine the inspection or the calculation. ¶ order of 18.4.2024, paras 3-5

##### NOT DECIDED — WHETHER THE DEMAND WAS FOR UNAUTHORISED USE UNDER CLAUSE 6.8 OR FOR THEFT UNDER CLAUSE 8.1

The Court applied clause 6.8 without describing the inspection and without citing clause 8.1 or any section of the Electricity Act, 2003. ¶ order of 19.3.2024, para 3; order of 18.4.2024, para 3

##### NOT DECIDED — SUFFICIENCY OF THE OFFICER'S EXPLANATION FOR PASSING THE PROVISIONAL AND FINAL ASSESSMENT ON THE SAME DATE

The Managing Director annexed a notice seeking that explanation. The Court did not decide it. The writ was disposed of on the withdrawal of the proceedings. ¶ order of 18.4.2024, para 2